

Tata Consultancy Services Ltd

TCS · Information Technology / IT Services

ROE

50.94%

ROCE

63.72%

Net Profit Margin

19.14%

D/E

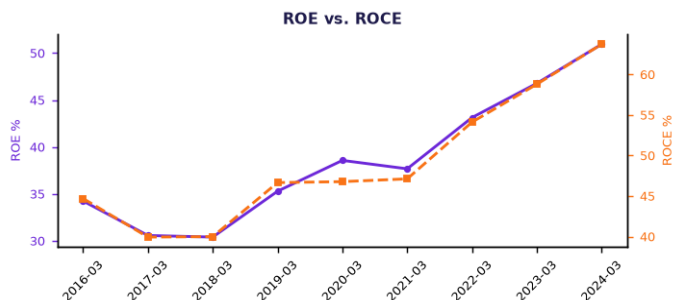
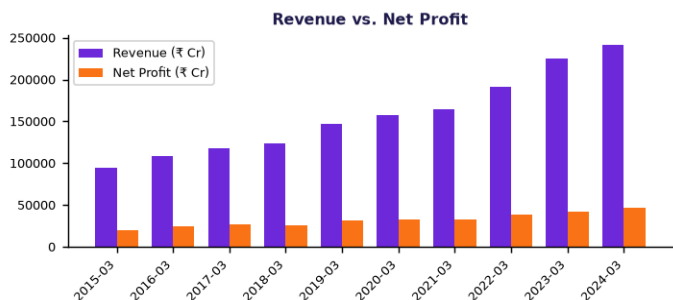
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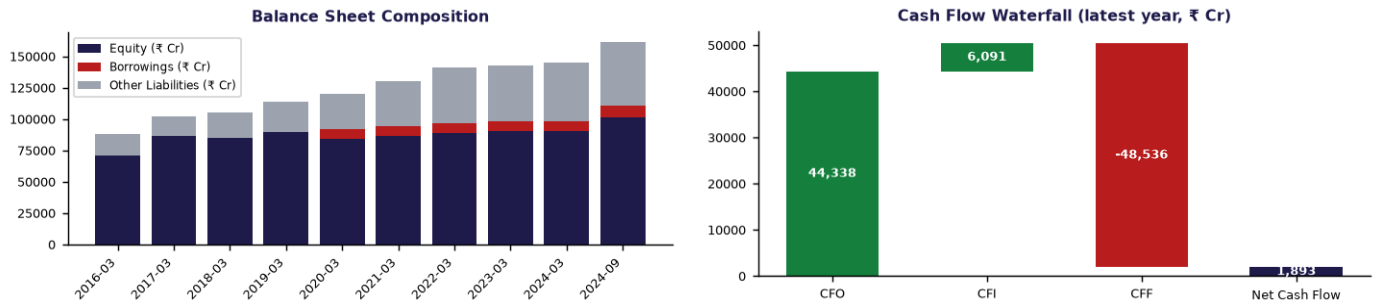
Revenue CAGR 5yr

10.46%

FCF (Rs. Cr)

50,429





Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (91% confidence)
- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (63% confidence)

Cons

- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (60% confidence)

Capital Allocation Pattern: **Liquidating Assets**